

K-BEAUTY COMPLEX LONG / SHORT SCREEN

Korean cosmetics ODMs, brands, distributors and aesthetics

12 names | KRX, KOSDAQ, HKEX | Screen date 10 August 2026

1 EXECUTIVE SUMMARY

Screen date: 10 August 2026	Names screened: 12 (10 Korea-listed, 1 Hong Kong-listed, 1 holdco)
Aggregate market cap: approx. KRW 26-28tn (range reflects quote-vintage dispersion)	Sector demand signal: Korea cosmetics exports H1 2026 USD 7.0bn, +27.3% YoY (record)
Dominant end-market: United States, over 20% of exports; Q1 US +40.9%, China -9.6%	Policy overlay: 15% US tariff on Korean-origin goods under the 2025-26 trade deal
Selections: 3 conviction longs, 3 conviction shorts, 6 no-position	House convention: No price targets. Long/short calls per explicit client instruction.

This basket spans the whole vertical stack of the Korean beauty industry. At the base sit the original design manufacturers (ODMs) -- Cosmax, Kolmar Korea and Cosmecca Korea -- the contract formulators and fillers that physically make the product for thousands of brands they do not own. Above them sit the brand owners -- APR, VT Co, iFamilySC and Able C&C -- who own the intellectual property, the marketing and the customer. Alongside them sit the distribution layer -- Silicon2 and YesAsia -- who move Korean product into overseas channels. Off to one side sit two adjacencies: Kolmar Holdings, the family holding company that controls the Kolmar operating assets, and Dongkook Pharmaceutical and Hugel, pharmaceutical and medical-aesthetics businesses whose fortunes rhyme with beauty rather than replicate it.

The core thesis of this screen is that the K-beauty export boom is real, accelerating, and structurally misallocated across these twelve securities. Korea shipped USD 7.0bn of cosmetics in the first half of 2026, up 27.3% year on year and a record, but the composition has inverted: the United States is now the largest market and grew 40.9% in the first quarter while China fell 9.6%. Because the marginal export dollar now comes from a small, asset-light indie brand selling into Amazon rather than a large Chinese-facing house, the value in this chain is accruing disproportionately to the manufacturers and to the brands that have already won the American consumer -- and is leaking away from single-product brands anchored to the Japanese cross-border channel and from intermediaries whose customers are learning to go direct.

Accordingly we go long the three names where the operating evidence has already printed and the multiple has not yet caught up -- Cosmecca Korea, Kolmar Korea and Hugel -- and short the three where revenue is stalling or earnings are falling inside a boom, which is the cleanest possible signal of share loss: VT Co, Silicon2 and iFamilySC. Six names are left unpositioned, with reasons given. Cosmax is deliberately excluded from both sides and flagged as the highest-variance name in the basket.

Screen output

Side	Name (code)	Layer	One-line reason	Conviction
LONG 1	Cosmecca Korea (241710)	ODM	Q2 revenue +39.8% with margin held; owns the only material US-domiciled plant in the basket	High
LONG 2	Kolmar Korea (161890)	ODM	Revenue mix (76% skincare/suncare) is the closest listed proxy to the national export mix	High
LONG 3	Hugel (145020)	Aesthetics	51.8% EBITDA margin and net cash, de-rated on a finite US sales-build investment	Medium-High
SHORT 1	VT Co (018290)	Brand	Revenue +4.8% against a sector running +27%; operating margin cut roughly in half	High
SHORT 2	Silicon2 (257720)	Distributor	Its largest-brand analogues are going direct; free cash flow already negative	Medium-High

Side	Name (code)	Layer	One-line reason	Conviction
SHORT 3	iFamilySC (114840)	Brand	Colour cosmetics, the weakest category; net income down 24% on rising revenue	Medium

2 SECTOR MECHANICS DEEP-DIVE

ELI5 — What an ODM actually is

Imagine you want to launch a lipstick brand. You do not own a factory, a chemistry lab, or a regulatory department. So you walk into a company that has all three, describe the product you imagine, and they hand you back a finished, filled, labelled, legally compliant lipstick with your name on it. They designed the formula, they own the recipe, they made it, and they will make it again for the next twenty brands who walk in with a similar idea. That company is an ODM. You are the brand; they are the kitchen. The interesting consequence is that when a thousand small brands each sell a little, the kitchen sells a lot -- and the kitchen does not care which brand wins.

The distinction that matters for this screen is between an OEM (original equipment manufacturer), an ODM (original design manufacturer) and what Cosmecca Korea now calls OGM (original global standard manufacturing). An OEM builds to the customer's specification: the brand hands over a formula, the manufacturer fills it. An ODM owns the formulation itself -- the emulsion architecture, the stability data, the raw-material sourcing and the safety dossier -- and licenses a finished concept to the brand. The economic difference is large. An OEM sells capacity and competes on price per unit. An ODM sells research and development and competes on time-to-shelf, which is why ODM gross margins survive a customer's price pressure in a way that pure fill-and-finish margins do not.

At an engineering level, what a skincare ODM is actually doing is colloid chemistry under regulatory constraint. A cream is an emulsion: droplets of oil suspended in water, or water in oil, held apart by surfactant molecules that have a water-loving head and an oil-loving tail. Left alone, thermodynamics wants those droplets to merge and the product to separate. The formulator's job is to arrest that process for three years at temperatures between 4 and 45 degrees Celsius, while simultaneously keeping an active ingredient chemically intact, keeping the preservative system effective against microbial challenge, and keeping the sensory profile -- how it feels on skin during the first fifteen seconds of application -- inside a very narrow band that consumers will accept. Cosmax's proprietary systems illustrate the point: Capsule+ and CeraPresso are encapsulation platforms that physically wall off an unstable active until it is released on the skin; Thixolash and JellTeX are rheology systems that control how a product yields under shear.

Sun care is a harder problem again, and it is the single most important product category in this cycle. A sunscreen is not a cosmetic in the United States -- it is a regulated over-the-counter (OTC) drug, governed by a monograph administered by the Food and Drug Administration (FDA). The formulator must deliver a uniform, measured film of ultraviolet filter across the skin, prove the sun protection factor (SPF) in clinical testing, and manufacture in a facility compliant with US OTC drug rules -- a materially higher bar than cosmetic good manufacturing practice. Korea has for years had access to a wider palette of modern organic UV filters than the United States, which is why Korean sunscreens feel dramatically better than American ones. The FDA's admission of the filter bemotrizinol to the OTC monograph is the most consequential regulatory event in this cycle: it narrows the formulation gap in the US market and hands an immediate advantage to the Korean ODMs who have been formulating with it for a decade.

Why this cycle changes the demand profile

The prior K-beauty cycle, which peaked around 2016 and unwound through the Chinese boycott, was a large-customer cycle. A handful of big houses -- Amorepacific, LG Household & Health Care -- placed enormous orders for a narrow set of stock-keeping units (SKUs) destined for Chinese duty-free and daigou channels. ODM revenue was concentrated, order sizes were large, product lives were long, and the

manufacturer's bargaining power was correspondingly weak.

The current cycle is the mathematical inverse. Korean exports to China fell from USD 3.81bn in 2020 to USD 2.50bn in 2024 and were still falling 9.6% year on year in the first quarter of 2026. Over the same window, US exports tripled from USD 641m to USD 1.91bn, then grew a further 40.9% in Q1 2026 to USD 620m in the quarter. The buyers driving that growth are indie brands with no factories, small marketing teams and product cycles measured in weeks rather than years. The intensity shift is the point of this report: relative to the prior generation, the same dollar of end-market beauty demand now passes through more SKUs, shorter runs, more frequent reformulation, more regulatory filings per dollar, and more customers per manufacturer. Every one of those is a fee event for an ODM and a cost event for a brand.

Cosmecca Korea gave this mechanism a name on its Q2 call: the snowball effect. A new small customer places a trial order; if the product works, the customer reorders and then extends the same formulation platform across additional SKUs; the initial order becomes a repeating bulk order. Cosmecca's Korean entity grew skincare revenue 94.8% year on year in Q2 2026 on precisely this dynamic. The quantitative signature of the shift is visible in the divergence between the ODMs' revenue growth (Cosmecca +39.8%, Kolmar Korea approximately +11.5% consolidated but +25% at the Korean standalone entity, Cosmax +16%) and the flat-to-negative revenue growth at the legacy single-brand houses in this basket.

Tariff incidence: who actually pays the 15%

ELI5 — Where a tariff lands

A tariff is a toll charged at the border, and it is paid by whoever is driving the truck through the gate -- the importer -- not by whoever built the thing back at the factory. If a Korean factory sells a box of serum to an American brand and the brand brings it into the country, the brand pays the toll. The factory's invoice is unchanged. The factory only suffers later, and indirectly, if the brand comes back and demands a cheaper invoice to help cover the toll.

Under the trade arrangement struck between Seoul and Washington, Korean-origin goods entering the United States now face a 15% tariff. The first-order incidence falls on the importer of record, which for most of this structure is the brand owner or its US distribution entity, not the ODM selling ex-works from Korea. Reporting through the first half of 2026 indicates most brands have chosen to absorb the cost rather than raise shelf prices -- a direct hit to brand gross margin, and a second-order risk to ODM pricing only if brands succeed in pushing the cost back up the chain. Two mitigants matter. First, Meritz Securities has made the point that the tariff burden on ultra-low-cost Chinese cosmetics has risen far more, so Korean product's relative price competitiveness in the US has actually improved. Second, and specific to this screen, a Korean ODM that owns US manufacturing capacity is not exposed at all on that volume. Only one name in this basket has that: Cosmecca Korea, through Englewood Lab in New Jersey, which posted a 16.8% operating margin in Q2 2026.

Product and capability map

Company (code)	What it actually sells	Signature capability / platform	Competes against
Cosmax (192820)	Full-service skincare, colour and health-food ODM; largest by breadth	Encapsulation (Capsule+, CeraPresso), rheology control (Thixolash, JellTeX); No.1 ODM share in Indonesia	Kolmar Korea, Cosmecca, Intercos (Italy), Nihon Kolmar
Kolmar Korea (161890)	Skincare and suncare ODM plus pharmaceuticals and quasi-drugs; owns HK inno.N	Suncare formulation depth; skincare and suncare are approx. 76% of revenue; AI-designed anti-ageing peptides	Cosmax, Cosmecca, Intercos, Ance (China)
Cosmecca Korea (241710)	K-derma skincare OGM; US OTC sun care via Englewood Lab, New Jersey	Ready To Go (RTG) OTC turnkey suncare; FDA-compliant US OTC drug manufacturing on US soil	Cosmax, Kolmar Korea, US contract manufacturers

Company (code)	What it actually sells	Signature capability / platform	Competes against
APR (278470)	Owned brands: medicube, APRILSKIN, Forment, GLAM.D Bio, NDY; plus home beauty devices	Device-plus-consumable model (AGE-R Booster Pro); direct Amazon and TikTok Shop operation at scale	d'Alba Global, Goodai Global, Anua, US indie brands
VT Co (018290)	Single hero franchise: Reedle Shot microneedle essence, plus legacy industrial units	CICA REEDLE microneedle-in-essence delivery; CICAHYALON and CICALIAO complexes	Medicube, Anua, Japanese domestic derma brands
iFamilySC (114840)	rom&nd colour cosmetics; plus iWedding and iColor app businesses	Colour-first brand building and collaboration SKUs; personal-colour diagnostics	Clio, 3CE (Stylenanda), Japanese and Chinese colour brands
Able C&C (078520)	Legacy brand house: MISSHA, A'pieu, MERZY, stila, CHOGONGJIN	Multi-brand portfolio with established offline distribution and a 4%-plus dividend	Tonymoly, It's Hanbul, Clio
Silicon2 (257720)	Wholesale and cross-border distribution of third-party K-beauty; stylekorean.com	Corporate-account and personal-account fulfilment across many geographies; K-pop merchandise adjacency	YesAsia, brands' own direct channels, Amazon aggregators
YesAsia (2209.HK)	E-commerce retail (YesStyle) and B2B wholesale (AsianBeautyWholesale)	Owned consumer-facing storefront and logistics across EU, US, UK, Australia and the Gulf	Silicon2, Amazon, brands' own direct-to-consumer sites
Hugel (145020)	Botulinum toxin (Letybo/Botulax), HA fillers (The Chaeum), skin boosters (BYRYZN)	Only Korean toxin approved in all three of the US, EU and China; 51.8% EBITDA margin	AbbVie (Botox), Galderma, Evolus, Medytox, Daewoong
Dongkook Pharm (086450)	Prescription and OTC pharmaceuticals, quasi-drugs, plus Centellian24 cosmetics	Pharma-grade credibility applied to cosmeceuticals; broad clinical pipeline	Dong-A ST, Daewoong, cosmeceutical specialists
Kolmar Holdings (024720)	Holding company: dividends and royalties from Kolmar Korea, Kolmar BNH, Yonwoo	Control of the Kolmar operating stack; value-up programme and share cancellations announced	Amorepacific Holdings and other Korean holdcos

3 SUPPLY CHAIN MAPPING

ELI5 — The chain in one sentence

A handful of chemical companies -- mostly German, Japanese, French and American -- make the specialist ingredients; Korean packaging firms make the tubes, pumps and cushion compacts; the ODM buys both, formulates, fills and ships; the brand markets and sells; and a distributor or an e-commerce platform gets it onto a shelf in Ohio. The screen matters because each of those handoffs has a different margin, a different bargaining position, and a different exposure to a border.

Korean ODMs sit in the middle of a chain whose upstream is not Korean. The active and functional ingredients that determine whether a formulation works are concentrated in a small number of Western and Japanese speciality chemical suppliers. Ultraviolet filters -- the constraint on the fastest-growing category in this cycle -- are dominated by BASF (Germany) and DSM-Firmenich (Netherlands and Switzerland), with bemotrizinol itself originating in that supply base. Hyaluronic acid and peptide actives come from a mix of Japanese, European and increasingly Korean producers. Silicone elastomers, which govern the sensory feel of primers and sun care, come principally from Dow, Shin-Etsu and Momentive. Preservative systems and emulsifiers are more commoditised but still concentrated.

Input map and concentration risk

Input / component	Principal suppliers	Single-source?	Risk to this basket
Organic UV filters (incl. bemotrizinol)	BASF (Germany), DSM-Firmenich (NL/CH)	Effectively duopoly per molecule	The binding constraint on suncare volume. A supply or price shock hits Kolmar Korea and Cosmecca hardest, since suncare is where their incremental growth sits.

Input / component	Principal suppliers	Single-source?	Risk to this basket
Silicone elastomers and fluids	Dow, Shin-Etsu (Japan), Momentive	Grade-specific, near single-source	Reformulation to an alternative grade takes months of stability testing. Sensory profile is a brand-critical attribute, so substitution is not costless.
Peptide and biotech actives	Croda, Lubrizol, Korean biotech suppliers, in-house	Mixed	Kolmar Korea's AI-designed peptide work is an attempt to internalise this layer and capture the margin. Partial de-risking, not full.
Primary packaging (tubes, pumps, cushion compacts)	Yonwoo (Kolmar group), Pum-Tech Korea, Jangzhou suppliers	No, but qualification is slow	Vertical advantage for Kolmar Holdings, which controls Yonwoo. Packaging capacity has been a visible bottleneck during 2026 export surges; Pum-Tech has rallied on exactly this.
Contract manufacturing capacity itself	Cosmax, Kolmar Korea, Cosmecca, second-tier Korean ODMs	No - but top-tier capacity is tight	Order concentration into top ODMs is rising because indie brands need R&D and regulatory support they cannot self-supply. This is the long thesis.
US OTC drug-compliant sunscreen capacity	Englewood Lab (Cosmecca, New Jersey); US contract manufacturers	Scarce	The scarcest asset in the chain given the 15% tariff and the OTC monograph. Cosmecca is the only name in this basket that owns it.
Botulinum toxin strain and fermentation	In-house proprietary strains; media inputs from global suppliers	Strain is proprietary	For Hugel this is the moat. Strain provenance was litigated to conclusion at the US International Trade Commission and resolved in Hugel's favour.
Freight and logistics (Korea to US/EU)	Container lines; air freight for launch volumes	No	Named by Korean brokers as a live 2026 risk on Middle East geopolitics. Air freight is a direct margin drag on brands launching into new geographies -- APR explicitly flagged Q3 air-freight recognition.

Two geographic exposures deserve emphasis. The first is the tariff asymmetry already described: Korean-origin product entering the US carries 15%, product made at Englewood Lab in New Jersey carries nothing. Over a multi-year horizon, if the tariff persists, the rational response of any large Korean ODM is to build or buy US capacity -- which is expensive, slow, and dilutive to returns. Cosmecca has already paid that price and is earning on it now. The second is China, which has become an option rather than an engine. Cosmax retains meaningful Chinese revenue (KRW 194.7bn in Q1 2026, +20%) and is shifting export-heavy brand volumes into its Shanghai plant; Cosmecca's Chinese entity is still loss-making (KRW 1.2bn operating loss in Q2) but revenue recovered 21.3% sequentially. Analysts have begun to price expectations that China eases restrictions on Korean imports, which would be a genuine upside surprise -- and one that would favour Cosmax more than any other name here. That is a principal risk to our decision not to be long Cosmax.

Input cost sensitivity is real but second-order relative to mix. Meritz Securities noted in May 2026 that easing raw-material sourcing uncertainty was a positive driver for the sector. For the ODMs, the more important cost variable is capacity utilisation, because contract manufacturing is a fixed-cost business: Cosmecca's historical advantage was domestic utilisation below 50% against rivals running above 80%, which meant incremental orders dropped through at very high marginal margin. That gap has since narrowed as volumes have risen, and we flag the specific utilisation figures as dated.

4 COMPETITIVE LANDSCAPE

The comparison below is struck against Cosmecca Korea as the subject name, since it is the highest-conviction long. Revenue figures are trailing twelve months unless a fiscal year is stated. Market share is share of the relevant competitive set, not of the total cosmetics market, and is directional.

Company (code)	HQ	Revenue (TTM)	Position / share	Key differentiator	Weakness vs. Cosmecca
Cosmecca Korea (241710)	Eumseong, Korea	KRW 708bn (rising to approx. 800bn post-Q2)	No.3 Korean ODM; small share of global contract manufacturing	Only basket name with US OTC-compliant manufacturing (Englewood Lab); RTG OTC turnkey suncare; K-derma skincare focus	Subject name

Company (code)	HQ	Revenue (TTM)	Position / share	Key differentiator	Weakness vs. Cosmecca
Cosmax (192820)	Hwaseong, Korea	KRW 2,490bn	No.1 or No.2 global cosmetics ODM by revenue; No.1 ODM share in Indonesia	Widest formulation platform library and the deepest ASEAN and China footprint; four-fold capacity expansion targeted by 2027	Converting revenue to profit far less efficiently: Q1 2026 operating profit rose only 3% on 16% revenue growth, against Cosmecca's +39.3% on +39.8%. No US manufacturing.
Kolmar Korea (161890)	Sejong, Korea	KRW 2,800bn	World No.2 or No.3 ODM; skincare and suncare approx. 76% of revenue	Best-matched revenue mix to the national export mix; suncare formulation leadership; HK inno.N pharma asset attached	Larger base makes percentage growth harder; consolidated growth (+11.5% in Q1) trails Cosmecca despite a stronger standalone entity. No US plant.
Intercos (IOSP.MI)	Agrate Brianza, Italy	approx. EUR 1.0bn (FY est.)	The Western incumbent ODM; long-standing prestige-brand relationships	Embedded with global prestige houses; European and US manufacturing footprint already in place	Slower product cycles and a cost base built for large orders, poorly suited to the indie long tail that is driving this cycle.
APR (278470)	Seoul, Korea	KRW 1,530bn (FY25); approx. 3,000bn guided FY26	The breakout K-beauty brand; medicube No.1 in Amazon beauty	Owns the customer relationship and a device-plus-consumable model at 24-26% operating margin	Not a competitor but a customer archetype. Its success is what Cosmecca and Kolmar monetise; its in-sourcing would be the threat.
Silicon2 (257720)	Seongnam, Korea	KRW 1,120bn	Largest listed Korean cross-border beauty distributor	Multi-geography fulfilment reach and rapid brand onboarding; 46.9% return on equity	Owns no formulation intellectual property and no customer. Sits between two parties who both have incentives to remove it.
YesAsia (2209.HK)	Kwai Chung, Hong Kong	HKD 3,350m	Owned storefront (YesStyle) plus B2B wholesale across EU, US and Gulf	Direct consumer relationship rather than pure wholesale; 39.9% return on equity	Semi-annual reporting, 34% accrual ratio and Piotroski F-Score of 3 make earnings quality materially harder to underwrite than Cosmecca's.
VT Co (018290)	Paju, Korea	KRW 451bn	Single-franchise brand, Japan-weighted	Genuinely differentiated product mechanic (microneedle-in-essence) with strong Japanese brand equity	One SKU, one country, and unrelated battery and hydrogen units on the same balance sheet. Cosmecca's revenue is diversified across hundreds of customers.
Hugel (145020)	Chuncheon, Korea	KRW 404bn	Korea's largest botulinum toxin maker; only Korean toxin cleared in US, EU and China	51.8% EBITDA margin, regulatory moat, proprietary strain, litigation resolved	Different industry. Included as a diversifier, not a substitute; its US channel build is an execution risk Cosmecca does not carry.
iFamilySC (114840)	Seoul, Korea	KRW 225bn	rom&nd is a top-tier Korean colour brand	Strong colour-cosmetics brand equity and collaboration marketing	Colour is the weakest export category and the most fashion-cyclical; earnings falling while Cosmecca's are compounding.
Able C&C (078520)	Seoul, Korea	KRW 248bn	Legacy multi-brand house (MISSHA, A'pieu)	Established offline distribution and a 4.4% dividend yield	FY25 revenue grew 1.2% and earnings fell 2.9% inside a 27% export boom. Structurally sub-scale.
Dongkook Pharm (086450)	Seoul, Korea	KRW 954bn	Mid-cap pharma with Centellian ²⁴ cosmeceutical brand	Pharmaceutical manufacturing credibility transferred into cosmeceuticals	Beauty is a minority of the mix, so it is a diluted expression of the same theme Cosmecca expresses purely.
Kolmar Holdings (024720)	Sejong, Korea	KRW 630bn (consolidated)	Holding company over Kolmar Korea, Kolmar BNH and Yonwoo	Controls an operating stack worth materially more than the holdco's own market capitalisation	Cash flows are dividends and royalties, not operating profit. Structural discount has persisted for years; no operating leverage to the export cycle.

The moat, and the most credible threat to it

Cosmecca's moat is not scale -- it is materially smaller than both Cosmax and Kolmar Korea -- and it is not brand. It is a combination of two things that are genuinely hard to replicate. The first is process know-how in dermatological skincare: formulation platforms addressing specific skin concerns, which is precisely where global demand has migrated from generic moisturising. Its Korean entity grew skincare revenue 94.8% in a single year on that positioning. The second is regulatory and jurisdictional: Englewood Lab is an FDA-compliant OTC drug manufacturing facility on US soil, which converts the two hardest constraints in this cycle -- the sunscreen monograph and the 15% tariff -- from problems into a selling proposition. The RTG OTC turnkey solution is the commercial packaging of that asset, and it is why the US entity earned a 16.8% operating margin in Q2, above the consolidated group.

Customer lock-in in ODM is real but modest, and honesty requires stating it plainly. Once a brand's hero SKU is formulated, stability-tested and registered at a given manufacturer, moving it means repeating the entire process at cost and at risk of a perceptible change in texture, which consumers notice. That is a switching cost measured in months and hundreds of thousands of dollars -- meaningful for a small brand, trivial for a large one.

The most credible threat to the moat is named and specific: Kolmar Korea. Kolmar is the sun care formulation leader in Korea, has publicly identified US subsidiary turnaround as a strategic priority, and has the balance sheet to build or acquire US OTC capacity outright. If Kolmar establishes FDA-compliant US sunscreen manufacturing at scale, Cosmecca's single most differentiated asset becomes a commodity within roughly two years. We are long both names partly for this reason -- the threat to one is the thesis for the other. A secondary threat is disintermediation from above rather than competition from beside: if brands of APR's scale conclude that formulation is a core competence and build in-house R&D and filling, the indie long tail that makes this cycle attractive would thin out at the top end. APR's B2B revenue running at roughly 30% of the total is worth monitoring as an early indicator of that shift.

5 MANAGEMENT & GOVERNANCE

Korean mid-cap governance is the single largest non-fundamental risk in this basket. Every name here except Hugel is founder- or family-controlled to some degree, holding company structures are used to maintain control with less than economic majority, and the persistent discount Korean holdcos trade at is a rational market response rather than an anomaly waiting to be arbitrated. The 2024-26 Korean value-up programme has begun to change behaviour at the margin, but slowly.

Governance and ownership register

Company	Control structure and insider ownership	Capital allocation and governance flags
Kolmar Holdings (024720)	Individual insiders approx. 48.3% in aggregate. Sang-Hyun Yoon 35.1%; Yeo-Won Yoon 7.6%; Dong-Han Yoon 5.59%. TOA Inc. 7.8%. Dalton Investments 5.69%; a further 5.69% block reported under Europlan Industries -- FLAGGED, these may be the same beneficial position reported twice.	Dalton Investments (US activist, approx. USD 4.3bn AUM) disclosed above 5% in October 2024 and has pressed for buybacks and cancellations. Company announced a value-up programme and share cancellations. Traded at approximately 0.44x book. The critical governance point: with the family at roughly 48%, the activist has no path to control and can only persuade.
Kolmar Korea (161890)	Controlled by Kolmar Holdings; same Yoon family ultimate control. Also consolidates HK inno.N.	Guidance credibility has been good: Q1 2026 consolidated revenue KRW 728bn and operating profit KRW 78.9bn were both records and beat the sector trend. Capacity expansion is being funded from operating cash flow. Related-party exposure to the holdco and to Yonwoo packaging is inherent to the structure.
Cosmecca Korea (241710)	Founder-controlled Korean mid-cap; KOSDAQ-listed with a stated history of considering a switch to the main board.	Capital allocation has been notably disciplined: historically very low standalone capex because domestic utilisation was under-employed, so growth has been funded without dilution. The Englewood Lab acquisition has proved the single best allocation decision in the basket given the tariff regime. Dividend is token (0.57% yield) -- reinvestment, not distribution.

Company	Control structure and insider ownership	Capital allocation and governance flags
Cosmax (192820)	Founder-controlled; part of the wider Cosmax group structure with a listed holding entity.	Aggressive capacity expansion -- targeting more than a four-fold increase in total capacity by 2027 -- funded across multiple geographies. This is the source of both the bull case (operating leverage later) and the bear case (margin now). Q1 2026 operating profit up only 3% on 16% revenue growth is the clearest evidence that the spend is running ahead of the return.
APR (278470)	Founder-led (Kim Byeong Hun, chief executive; Jae Ha Shin, chief financial officer). Founded 2014, listed 2024.	Guidance track record is the standout in this basket: management raised full-year 2026 revenue guidance from approximately KRW 2.1tn to approximately KRW 3.0tn while holding the 24-26% operating margin outlook, having already delivered six consecutive quarters of triple-digit cosmetics growth. Dividend initiated but cash payout ratio approaching 98% -- FLAGGED as poorly covered by cash flow.
Hugel (145020)	Institutionally owned rather than family-controlled following private-equity ownership history; the most conventional governance in the basket.	Share count fell 2.92% over the past year -- the only genuine buyback-and-cancel in this screen. Net cash of roughly KRW 410bn against a debt-to-equity ratio of 0.04. Management chose to build a direct US sales network rather than continue with a distribution partner, accepting near-term margin dilution for long-term channel control. We regard that as competent capital allocation being punished by the market.
VT Co (018290)	Founder-controlled; renamed from VT GMP in July 2023.	The governance flag here is portfolio coherence, not ownership: a cosmetics brand carrying lithium sulphur battery, electrode manufacturing equipment, hydrogen energy and laminating businesses. Prior management statements indicated intent to divest non-core units; that has not visibly completed. No dividend, no analyst coverage, no published forward guidance.
iFamilySC (114840)	Founder-controlled Korean small cap.	Pays a 3.93% dividend yield with a payout ratio around 23%, which is shareholder-friendly, but is doing so while net income declines. No analyst coverage and no forward estimates are published -- FLAGGED as a material information gap for any position.
Silicon2 (257720)	Founder-controlled; share count up 1.78% year on year.	Announced a share repurchase programme of up to KRW 5bn via Samsung Securities, expiring February 2027. Against a market capitalisation above KRW 2.2tn this is a token gesture, roughly 0.2%. Share count is rising, not falling. Piotroski F-Score of 4 indicates weak underlying financial quality trend.
YesAsia (2209.HK)	Hong Kong-listed; share count up 6.57% year on year.	Significant insider selling reported over a recent three-month window (approximately HKD 983k). Post-IPO share option scheme broadened in April 2026. Reports semi-annually. Accrual ratio of 34% indicates a high proportion of non-cash earnings -- FLAGGED as the most serious earnings-quality concern in the basket.
Able C&C (078520)	Controlled following a private-equity ownership period.	Distributes rather than reinvests: 4.36% dividend yield on a business growing revenue at 1.2%. That is a rational allocation for a no-growth asset and we do not criticise it -- but it confirms management's own read that reinvestment opportunities are limited.
Dongkook Pharm (086450)	Long-established (founded 1968) family-influenced pharmaceutical company.	Conservative: dividend yield around 1%, steady mid-teens revenue growth, no dilution events flagged. The cosmetics arm is managed as an adjacency rather than a strategic pivot, which limits both the upside and the risk.

The aggregate assessment: management quality is genuinely differentiated across this basket and correlates well with our positioning. APR's guidance track record, Cosmecca's allocation discipline and Hugel's willingness to take a visible margin hit for durable channel control all sit on the constructive side. VT Co's unresolved conglomerate structure, Silicon2's token buyback against a rising share count, and YesAsia's combination of insider selling, dilution and semi-annual disclosure sit on the cautious side. Kolmar Holdings is the interesting middle case: the assets are good and the activist is real, but a 48% family register means value realisation depends on persuasion rather than pressure, which is why we do not carry it as a top-three long despite it screening as the cheapest name here.

6 FINANCIAL TRAJECTORY

The screen table below is the quantitative core of this report. A methodological warning applies to the whole of it and is repeated in the Verification Log: Korean quote data available through English-language aggregators in this environment is cached at materially different vintages by name, ranging from live (Kolmar Holdings and Dongkook, 10 August) to six weeks stale (APR, Kolmar Korea and Cosmecca base pages). Because the entire cosmetics complex rallied hard in the first week of August -- all 23 covered names rose, fourteen by double digits, with Cosmecca up 20.8% in that week alone -- stale quotes understate current market capitalisations and overstate cheapness for several names. We have therefore ranked primarily on operating momentum, margin direction and structural position, and used valuation as a secondary filter with explicit dating rather than as the primary screen.

Screen table: the twelve names

Name (code)	Mkt cap	Revenue TTM	Net income TTM	Trail. / fwd P/E	Latest revenue growth	Latest earnings direction	Quote date
Cosmecca Korea (241710)	KRW 712bn	KRW 708bn	KRW 55.1bn	12.9x / 10.0x	Q2 26: +39.8%	Q2 OP +39.3%, NI +88.0%	24 Jun (pre-rally)
Kolmar Korea (161890)	KRW 2,030-2,900bn	KRW 2,800bn	KRW 157.0bn	12.9x / 12.3x	Q1 26: +11.5% cons., +25% standalone	Q1 OP +31.6%, NI +159%	22 Jun / Jul range
Cosmax (192820)	KRW 2,330bn	KRW 2,490bn	KRW 156.5bn	14.9x / 17.4x	Q1 26: +16.0%	Q1 OP +3.0% - FLAG	7 Aug
APR (278470)	KRW 14,390bn	KRW 1,530bn (FY25)	KRW 289.7bn (FY25)	approx. 40x / 24-26x	Q2 26: +134%	Q2 OP +135%, 24.8% margin	7 Aug
Hugel (145020)	KRW 2,500-3,000bn	KRW 404bn	KRW 142.3bn	18.2x / 15.8x	Q2 26: +25.1%	Q2 OP +1.1% (US build)	1 Jul
Silicon2 (257720)	KRW 2,260-2,370bn	KRW 1,120bn	KRW 168.6bn	13.3x / 10.2x	FY25: +61.4%	FY25 NI +39.6% (lagging rev)	21 Jul
Dongkook Pharm (086450)	KRW 907bn	KRW 954bn	KRW 74.5bn	12.1x / 9.5x	TTM: +13.7%	TTM NI +28.5%	10 Aug (live)
VT Co (018290)	KRW 425bn	KRW 451bn	KRW 56.9bn	7.6x / 8.0x	TTM: +4.8%; FY25 +1.3%	TTM NI -45.5% - FLAG	1 Jul
Kolmar Holdings (024720)	KRW 344bn	KRW 630bn	KRW 50.9bn	6.8x / n/a	TTM: -3.5%	TTM NI +154.9% (equity income)	10 Aug (live)
Able C&C (078520)	KRW 243bn	KRW 248bn	KRW 18.5bn	13.3x / n/a	TTM: +8.6%; FY25 +1.2%	TTM NI +22.9%; FY25 -2.9%	10 Jul
iFamilySC (114840)	KRW 129bn	KRW 225bn	KRW 18.7bn	7.0x / n/a	TTM: +11.2%	TTM NI -24.1% - FLAG	23 Jun
YesAsia (2209.HK)	HKD 1,110-1,650m	HKD 3,350m	HKD 173.2m	9.7x / 6.8x	Q1 26 orders: +29%	H2 25 last full disclosure	4 Aug

Sector demand trajectory (the denominator for every name above)

Period	Korea cosmetics exports	Growth	US	China	Japan
FY2023	USD 8.5bn (approx.)	-	USD 1.2bn (approx.)	Declining	-
FY2024	USD 10.0bn	First time above USD 10bn	USD 1.91bn	USD 2.50bn	-
FY2025	USD 11.43bn	+12.3%	USD 2.2bn, +15.1%	Declining	USD 1.1bn, +5.0%
Q1 2026	USD 3.1bn (record quarter)	+19% to +21.3%	USD 620m, +40.9%	USD 470m, -9.6%	USD 290m, +7.4%

Period	Korea cosmetics exports	Growth	US	China	Japan
H1 2026	USD 7.0bn (record half)	+26.9% to +27.3%	Above 20% share, largest market	Continued decline	Growing modestly

Two features of that table drive everything. First, growth is accelerating, not decelerating: +12.3% in 2025 became +19% in Q1 2026 and +27.3% in H1 2026. Second, the composition inverted. Korea is now the world's second-largest cosmetics exporter, having passed the United States (USD 10.8bn) in 2025 and trailing only France (USD 24.3bn). Skincare alone accounted for USD 2.43bn of the USD 3.1bn Q1 total, which is why skincare ODM exposure has outperformed colour cosmetics exposure so decisively within this basket.

Guidance and medium-term targets on record

- APR: full-year 2026 revenue guidance raised to approximately KRW 3.0tn from approximately KRW 2.1tn, with the operating margin outlook maintained at 24-26%. B2B is roughly 30% of revenue. Latin America and Middle East identified as next expansion markets. Management flagged Q3 air-freight cost recognition ahead of Q4 events.
- Kolmar Korea: no formal public revenue guidance, but Q2 2026 sell-side consensus of KRW 831.8bn revenue and KRW 90.3bn operating profit would be a record, with target prices raised as high as KRW 140,000. Korean unit order strength and US subsidiary turnaround are the two stated drivers.
- Cosmax: management has targeted more than a four-fold increase in total production capacity by 2027 and is shifting export-weighted Chinese brand volumes into its Shanghai plant. Hanwha Investment noted US unit order growth exceeding expectations with a return to quarterly profit likely from Q2.
- Cosmecca Korea: no formal guidance; management stated intent to continue expanding global orders in H2 centred on skin-concern-solving dermatological products, and to improve Chinese profitability through suncare.
- Hugel: stated ambition to reach approximately 10% share of the US botulinum toxin market within three years of launch. Sell-side expects H2 2026 earnings improvement as US direct-sales build costs annualise.
- VT Co, iFamilySC, Able C&C, Silicon2: no published forward guidance located. For VT Co, KB Securities cut its 2026 operating profit forecast by 42.2% in March 2026, which is the most concrete forward datapoint available.

Balance sheet items that matter

- Hugel: enterprise value of approximately KRW 2.09tn against a market capitalisation of KRW 2.5-3.0tn implies net cash of roughly KRW 410bn. Debt-to-equity 0.04, current ratio 7.42. Share count down 2.92% year on year. The strongest balance sheet in the basket by a wide margin.
- Silicon2: EV/free cash flow of approximately -415x. Free cash flow is negative -- a distributor growing revenue 61% is funding channel inventory and receivables out of the balance sheet. Current ratio 4.55 and debt-to-equity 0.29 mean this is a working-capital drag, not a solvency question, but it is the reason we do not treat the 10x forward multiple as cheap. Altman Z-Score 9.92; Piotroski F-Score 4.
- YesAsia: accrual ratio of 34% flagged as high non-cash earnings; EV/free cash flow 58.6x against a trailing P/E of 9.7x, which is a wide gap between accounting profit and cash. Share count up 6.57%. Debt-to-equity 0.60 with an on-demand bank facility structure the company itself clarified to the market in April 2026.
- Kolmar Holdings: traded at approximately 0.44x book value. Revenue is dividends and royalties from subsidiaries, so reported trailing net income of KRW 50.9bn (+154.9%) is largely equity-accounted subsidiary performance rather than holdco cash generation. Any NAV-based valuation must be struck on the market value of the listed stakes, not book -- see Section 8.

- APR: dividend cash payout ratio approaching 98% against an earnings payout ratio of 56%. Growth is being funded while distributing nearly all free cash flow -- sustainable only while operating cash flow keeps compounding at the current rate.
- VT Co: no dividend, no debt concerns identified, but the presence of lithium-sulphur battery, hydrogen and laminating units means a portion of the balance sheet is deployed in businesses unrelated to the cosmetics thesis and of unclear return.

7 CATALYSTS & RISKS

The catalyst calendar for this basket is unusually dense. Eight of the twelve names report or have just reported within a ten-day window around this screen date, which means positions taken on this report face immediate event risk. That cuts both ways: it is the reason the screen has high information value now, and the reason position sizing should be modest until the prints clear.

Catalyst	Timing	Impact	Probability
Cosmax Q2 2026 result	11-12 Aug 2026 (sources conflict)	The single most important read-across in the basket. Q1 operating profit grew only 3% on 16% revenue. A repeat confirms the capacity-spend drag and validates our exclusion; a margin recovery would force us to revisit Cosmax as a long and would lift the whole ODM complex.	High (event certain, outcome uncertain)
Kolmar Korea Q2 2026 result	12 Aug 2026	Consensus KRW 831.8bn revenue and KRW 90.3bn operating profit. Because the stock has already run to 52-week highs on this expectation, the asymmetry is now in the guidance commentary on H2 order book rather than the printed number.	High
VT Co Q2 2026 result	12 Aug 2026	The primary short catalyst. Consensus expects operating margin to remain in the low teens against high-20s historically. Confirmation of a third consecutive quarter of margin compression on flat revenue would validate the short.	High
Able C&C Q2 2026 result	12 Aug 2026	Low impact. A no-growth asset with a 4.4% yield; the print determines dividend coverage more than direction.	High
Kolmar Holdings and Dongkook Q2 results	14 Aug 2026	For Kolmar Holdings the result matters less than any accompanying value-up announcement. Dongkook's Centellian24 disclosure will indicate whether the cosmetics adjacency is scaling.	High
APR Q3 2026 result	5 Nov 2026	First test of the raised KRW 3.0tn guidance. Management has pre-flagged Q3 air-freight cost recognition, so the margin line has a known headwind and the revenue line carries the burden of proof.	High
China easing restrictions on Korean imports	Open-ended; sell-side expectations building	Would be the largest single upside surprise available to this basket and would disproportionately favour Cosmax, which retains the deepest Chinese footprint. This is the principal risk to our decision not to be long Cosmax.	Medium
Further US OTC monograph filter approvals following bemotrizinol	Rolling through 2026-27	Each additional modern UV filter admitted to the US monograph widens the formulation advantage of Korean skincare specialists. Direct benefit to Kolmar Korea and Cosmecca.	Medium
Hugel US Letybo sell-through data and H2 margin recovery	Q3 and Q4 2026 results	The direct-sales build is the entire reason operating profit grew 1.1% on 25.1% revenue growth. Evidence that the cost base has annualised while US volume scales is the re-rating trigger.	Medium-High
Dalton Investments escalation at Kolmar Holdings	Open-ended	Additional buybacks or cancellations would narrow a discount that has persisted for years. Constrained by the approximately 48% family register.	Low-Medium
Middle East logistics disruption raising freight and input costs	Open-ended	Named explicitly by Korean brokers as a live 2026 sector risk. Hits brands launching into new geographies hardest, since they carry air-freight cost; ODMs selling ex-works are more insulated.	Medium

Catalyst	Timing	Impact	Probability
Escalation or removal of the 15% US tariff on Korean goods	Policy-dependent	Removal would lift brand gross margins across the basket and remove Cosmecca's jurisdictional advantage. Escalation would accelerate the shift toward US-domiciled manufacturing and deepen it.	Low-Medium each direction

Key risks, stated specifically

Risk 1 -- Kolmar Korea builds US OTC sunscreen capacity and commoditises Cosmecca's differentiator. This is the most credible single threat to our top long. Kolmar Korea is the Korean suncare formulation leader, has publicly identified US subsidiary turnaround as a priority, and generated KRW 78.9bn of operating profit in a single quarter -- more than enough to fund an FDA-compliant US facility outright. Englewood Lab's scarcity value, which is currently earning Cosmecca a 16.8% operating margin at the US entity and underwriting the tariff-immunity argument, would erode materially within roughly two years of such a decision. We hold both names partly as a hedge against this specific outcome, but a Cosmecca-only position carries it undiluted.

Risk 2 -- Cosmax delivers a Q2 margin recovery and the ODM leadership rotates against us. Cosmax rose 32.9% in the month to late July, the best performance in the Korea Investment & Securities cosmetics coverage, and Hanwha Investment has flagged US unit order growth exceeding expectations with a return to quarterly profit likely from Q2. If Cosmax prints operating leverage on 11-12 August, capital rotates from the smaller ODMs into the largest, and both our ODM longs underperform on a relative basis even if they rise in absolute terms. The forward price-to-earnings ratio of 17.4x against a trailing 14.9x tells us consensus currently embeds an earnings decline at Cosmax, so the bar for a positive surprise is low.

Risk 3 -- VT Co's Reedle Shot inflects in China or the United States and the short squeezes. VT obtained Chinese hygiene registration for the principal Reedle Shot lineup in January 2025, and the product mechanic is genuinely differentiated rather than a me-too formulation. The stock has already fallen approximately 65% over twelve months and trades at 7.6x trailing earnings with no debt, which is a poor place from which to press a short. Our thesis is that the marketing spend which halved the operating margin buys revenue that never arrives; if it does arrive, the operating leverage reverses violently and the low multiple provides no resistance on the way up. This short must be sized small and stopped tightly around the 12 August print.

Risk 4 -- Silicon2's valuation floor holds and the disintermediation thesis takes years to play out. Silicon2 generates a 46.9% return on equity and a 35.2% return on invested capital, grew revenue 61.4% in FY2025, and trades at roughly 10x forward earnings with a price-earnings-to-growth ratio of 0.41. Those are not the metrics of a business in imminent decline. The short rests on the claim that its function -- getting Korean brands into overseas channels -- is being insourced by exactly the customers who matter most, evidenced by APR running its own Amazon and TikTok Shop operations to a No.1 Amazon beauty position and growing European revenue 380% without needing an intermediary. The risk is that this is a five-year erosion, not a two-quarter one, and that we pay carry and endure realised volatility of 20% weekly swings in the meantime. Silicon2 was also among the strongest performers in the sector during July, up 26.3% in a month.

Risk 5 -- iFamilySC re-rates on a single viral SKU. rom&nd remains a genuinely well-regarded colour brand and iFamilySC's market capitalisation of approximately KRW 129bn is small enough that one successful product, one collaboration, or one Japanese channel event can move the equity 50% without changing the earnings trajectory we are shorting. The name has no analyst coverage and no published forward estimates, which means there is no consensus to disappoint and no institutional framework anchoring the price. It participated in the early-August sector rally alongside everything else. This is the smallest-conviction leg of the three shorts and should be sized accordingly.

Risk 6 -- the export cycle itself rolls over. Every long in this basket is a derivative of one number: Korean cosmetics exports, running at +27.3% in the first half of 2026. Comparisons get materially harder from the fourth quarter of 2026 onward, since 2025 set monthly records throughout. The specific mechanism to watch is not aggregate demand but indie-brand attrition in the United States: the long tail of small brands that has driven ODM order intensity has low barriers to entry and correspondingly low survival rates. Korean

brokers have already named intensifying competition within indie beauty as a sector risk. If the cohort of new brands stops replenishing faster than it fails, ODM order growth decelerates sharply with roughly two quarters of lag and no advance warning in the export data.

Risk 7 -- data vintage in this screen. Stated plainly because it is actionable: several quotes underlying the valuation column are between four and seven weeks stale, and the sector rallied hard in the first week of August, with every one of the 23 covered cosmetics names rising and fourteen gaining double digits. Cosmecca specifically rose 20.8% in that week. Any entry price in this report must be re-struck against live quotes before execution. This does not change the ranking, which is built on operating data, but it materially changes the entry-level arithmetic.

8 VALUATION CONTEXT

The comparison below sets each selection against its closest listed peers. The relevant observation across the whole table is that this complex does not trade at bubble multiples. Excluding APR, every name screens between roughly 7x and 18x trailing earnings, and the two ODM longs sit at 10-12x forward against 30-40% operating profit growth. The market has been unwilling to capitalise ODM earnings at brand multiples on the historical grounds that contract manufacturing has capped profit upside. The argument of this screen is that the composition of demand has changed enough -- more customers, more SKUs, more regulatory content per dollar -- that the historical margin cap is being tested, and Cosmecca's Q2 (+39.3% operating profit on +39.8% revenue) is the first clean quarter of evidence.

Name	Mkt cap	Revenue TTM	Trail. P/E	Fwd P/E	Revenue growth	End-market exposure
LONGS						
Cosmecca Korea (241710)	KRW 712bn	KRW 708bn	12.9x	10.0x	+39.8% (Q2 26)	Korea 79% of Q2 revenue; US 23% via Englewood Lab; China 3% and loss-making
Kolmar Korea (161890)	KRW 2.0-2.9tn	KRW 2,800bn	12.9x	12.3x	+11.5% cons. (Q1 26)	Skincare and sun care 76% of revenue; Korea standalone the growth driver; US turnaround pending; HK inno.N pharma attached
Hugel (145020)	KRW 2.5-3.0tn	KRW 404bn	18.2x	15.8x	+25.1% (Q2 26)	Medical aesthetics: Korea, China, North America, EU, wider Asia-Pacific
SHORTS						
VT Co (018290)	KRW 425bn	KRW 451bn	7.6x	8.0x	+4.8% (TTM)	Japan-weighted cosmetics plus unrelated battery, hydrogen and laminating units
Silicon2 (257720)	KRW 2.3-2.4tn	KRW 1,120bn	13.3x	10.2x	+61.4% (FY25)	Cross-border distribution of third-party K-beauty; multi-geography
iFamilySC (114840)	KRW 129bn	KRW 225bn	7.0x	n/a	+11.2% (TTM)	rom&nd colour cosmetics; Korea, Japan, China; plus wedding and colour-diagnostic apps
REFERENCE PEERS						
Cosmax (192820)	KRW 2,330bn	KRW 2,490bn	14.9x	17.4x	+16.0% (Q1 26)	Korea 62%, China 29%, US 6% of Q1 revenue; No.1 ODM share in Indonesia
APR (278470)	KRW 14,390bn	KRW 1,530bn FY25	approx. 40x	approx. 24-26x	+134% (Q2 26)	North America KRW 376bn and Europe KRW 145bn in Q2 alone; B2B approx. 30% of revenue
Dongkook Pharm (086450)	KRW 907bn	KRW 954bn	12.1x	9.5x	+13.7% (TTM)	Korean pharmaceuticals with Centellian24 cosmeceutical adjacency
Able C&C (078520)	KRW 243bn	KRW 248bn	13.3x	n/a	+8.6% (TTM)	Legacy Korean brand house; domestic offline weighted
YesAsia (2209.HK)	HKD 1.1-1.65bn	HKD 3,350m	9.7x	6.8x	+29% orders (Q1 26)	EU, US, UK, Australia, Gulf e-commerce and B2B wholesale

Name	Mkt cap	Revenue TTM	Trail. P/E	Fwd P/E	Revenue growth	End-market exposure
Kolmar Holdings (024720)	KRW 344bn	KRW 630bn	6.8x	n/a	-3.5% (TTM)	Holdco: dividends and royalties from Kolmar Korea, Kolmar BNH and Yonwoo

A note on Kolmar Holdings and the holdco discount

Kolmar Holdings deserves separate treatment because it screens as by far the cheapest name here and we have nonetheless declined to make it a top-three long. The structure is a conventional Korean holding company: it controls Kolmar Korea, Kolmar BNH (health supplements) and Yonwoo (cosmetics packaging), and its own revenue consists of dividends and royalty payments from those subsidiaries rather than operating profit. It trades at approximately 0.44x book and 6.8x trailing earnings, with a market capitalisation of KRW 344bn against a Kolmar Korea operating entity capitalised somewhere between KRW 2.0tn and KRW 2.9tn.

The correct way to frame the gap is as a discount to the market value of the listed stakes, not to book value, and we must be explicit that we could not verify the precise percentage stake Kolmar Holdings holds in Kolmar Korea within this screen's research budget -- it is flagged as unverified in the Verification Log and any position should be sized only after confirming it from the disclosure filings. A third-party estimate from Douglas Research in March 2025 put net asset value at KRW 475bn, or KRW 13,836 per share, against a share price then of roughly KRW 9,500. That estimate is now well over a year old and predates a very substantial re-rating in Kolmar Korea, so the underlying asset value has almost certainly risen while the holdco has fallen 31.5% over twelve months -- which is precisely the pattern that makes holdco discounts widen rather than close.

The structural friction is what keeps us out. Individual insiders hold approximately 48.3% of the register, with the founding Yoon family accounting for the bulk of it. Dalton Investments holds 5.69% and has pressed for buybacks and cancellations since October 2024; the company has responded with a value-up programme and share cancellations, and the discount has widened anyway. An activist with 5.7% facing a family with 48% has no mechanism beyond persuasion. Korean holdco discounts are not a mispricing awaiting arbitrage -- they are a price for a governance structure in which minority holders cannot compel distribution of the underlying asset value. We would hold this as a small satellite position or as the funding leg against a Kolmar Korea long, not as a conviction idea in its own right.

Bull case

The bull case for the long book is that this is the second year of a multi-year re-rating in which Korean ODMs cease to be valued as cyclical contract manufacturers and start to be valued as regulated-formulation platforms with structurally rising customer counts. Korean cosmetics exports compounded from USD 10.0bn in 2024 to USD 11.43bn in 2025 to a USD 14bn-plus annualised run rate in the first half of 2026, and the growth rate is accelerating rather than fading. Because the incremental buyer is a small brand that cannot self-supply research, regulatory filing or fill capacity, more of each end-market dollar accrues to the manufacturer than in the prior China-led cycle. Cosmecca has already demonstrated the margin consequence -- operating profit up 39.3% on revenue up 39.8%, with the US entity running at a 16.8% operating margin -- and still trades around 10x forward earnings with consensus targets well above the pre-rally price. Kolmar Korea has the mix (76% skincare and suncare) that most closely tracks the national export statistic, a quantified and largely unmodelled order tailwind from APR's guidance raise from KRW 2.1tn to KRW 3.0tn at a customer it manufactures for, and a fresh regulatory opening in US suncare via the bemotrizinol monograph admission. Hugel adds an uncorrelated 51.8%-EBITDA-margin asset with net cash, a shrinking share count and a resolved US litigation overhang, currently absorbing a finite investment cost that the market has capitalised as though permanent. In an upside case where the ODMs sustain 30%-plus operating profit growth into 2027 and re-rate toward the low-20s multiples that brands command, and Hugel's US channel scales onto an annualised cost base, the long book compounds without needing multiple expansion to do the work.

Bear case

The bear case is that we are underwriting the tail end of a cycle at the point of maximum reported momentum. Every single long here is a levered derivative of one accelerating export number, and the comparison base gets materially harder from Q4 2026 because 2025 set a year-on-year record in every month. The engine of ODM order intensity is a long tail of indie brands with negligible barriers to entry and correspondingly high failure rates; Korean brokers have already named intensifying indie competition and hero-SKU concentration as sector risks, and when that cohort stops replenishing faster than it fails, ODM orders decelerate with two quarters of lag and no warning in the export data. The 15% US tariff is currently being absorbed by brands rather than passed to consumers, which means brand gross margins are already impaired and the pressure to push cost back up the chain to the ODMs builds with every quarter it persists. Cosmecca's differentiator -- US OTC manufacturing at Englewood Lab -- is precisely the asset a far better-capitalised Kolmar Korea can replicate, and Cosmax's capacity quadrupling by 2027 will arrive as supply into whatever demand exists then. On the short side, the de-rating triggers we are relying on may simply not fire: VT trades at 7.6x with no debt after a 65% decline, Silicon2 generates a 46.9% return on equity at 10x forward with a 0.41 price-earnings-to-growth ratio, and all three shorts participated fully in an early-August rally in which every covered cosmetics name rose. A short book of small, cheap, heavily-derated Korean small caps inside an accelerating sector boom is a structurally uncomfortable position, and the honest characterisation is that these are relative-value legs against the longs rather than standalone absolute-return ideas.

9 WHAT MOVES IT NEXT -- EARNINGS SIGNAL MAP

ELI5 — Why this section exists

You cannot read twelve companies' results properly in one week. So for each name, decide in advance the single number you will look for, and ignore everything else in the release. If that number is good, the thesis is intact; if it is bad, the thesis is broken. Writing it down before the print stops you reading the headline, liking it, and quietly changing your mind about what mattered.

Company	Next earnings	Days away	The one metric	Why it matters
Cosmax (192820)	11-12 Aug 2026 (Q2)	1-2	Consolidated operating margin versus the 7.8% printed in Q1 2026 (KRW 53bn on KRW 682bn)	Q1 grew operating profit 3% on 16% revenue while Cosmecca grew 39% on 40%. Either the capacity spend is suppressing margin, which validates our exclusion, or the Q1 gap was timing and Cosmax re-rates hard. The forward multiple above the trailing multiple means consensus is positioned for disappointment.
Kolmar Korea (161890)	12 Aug 2026 (Q2)	2	Korean standalone entity operating profit against the KRW 51.2bn recorded in Q1, and any H2 order-book commentary referencing the Medicube relationship	The consolidated number is largely pre-announced at KRW 90.3bn consensus. What is not priced is whether APR's guidance raise from KRW 2.1tn to KRW 3.0tn shows up as a stated H2 order tailwind. That is the unmodelled part of the long thesis.
VT Co (018290)	12 Aug 2026 (Q2)	2	Operating margin: whether it remains in the low teens or recovers toward the historical high-20s	The entire short rests on marketing spend buying revenue that never arrives. A third consecutive quarter of low-teens margin on flat revenue confirms it. Any margin recovery on accelerating overseas revenue breaks the thesis and this position should be closed.
Able C&C (078520)	12 Aug 2026 (Q2)	2	Revenue growth versus the 1.2% delivered in FY2025	The only question worth asking of a no-growth asset in a 27% export boom is whether it is participating at all. If revenue accelerates into double digits the 4.4% yield becomes interesting; otherwise this stays a no-position.

Company	Next earnings	Days away	The one metric	Why it matters
Kolmar Holdings (024720)	14 Aug 2026 (Q2)	4	Any incremental buyback or share cancellation announcement accompanying the result	The operating numbers are equity-accounted subsidiary performance and tell you little. The discount only closes on capital-return action, and Dalton has been pressing for it since October 2024.
Dongkook Pharm (086450)	14 Aug 2026 (Q2)	4	Centellian24 cosmetics revenue as a disclosed proportion of group	Determines whether this is a pharmaceutical business with a cosmetics footnote or a genuine hybrid expression of the K-beauty theme. Currently we treat it as the former, which is why it is unpositioned.
YesAsia (2209.HK)	Early Sep 2026 (H1), est.	approx. 25	Operating cash flow versus reported net profit, given the 34% accrual ratio	The valuation at 6.8x forward is only real if the earnings are cash. With semi-annual reporting this is the only look at the cash statement available all year, and it is the single item that would move YesAsia from unpositioned to long.
APR (278470)	5 Nov 2026 (Q3)	approx. 87	North America revenue against the KRW 376bn printed in Q2, net of the pre-flagged Q3 air-freight cost	The raised KRW 3.0tn full-year guidance implies H2 revenue of roughly KRW 1.64tn. Q3 is the first checkpoint, and management has already warned the margin line carries an air-freight headwind, so revenue must do the work.
Cosmecca Korea (241710)	approx. 10 Nov 2026 (Q3), est.	approx. 92	Englewood Lab revenue and operating margin against KRW 51.9bn and 16.8% in Q2	This is the tariff-immunity and US-monograph thesis in a single line. If the US entity keeps compounding at a premium margin to the group, the differentiation argument holds. If it stalls, Cosmecca is just a cheaper ODM.
Silicon2 (257720)	approx. 10 Nov 2026 (Q3), est.	approx. 92	Free cash flow, and gross margin per unit of revenue	Revenue growth is not in question; the question is whether growth is being bought with working capital and whether the distribution spread is compressing as brands go direct. EV to free cash flow at approximately -415x says the first is already true.
Hugel (145020)	approx. mid-Nov 2026 (Q3), est.	approx. 95	Operating margin versus the 40.6% printed in Q2, and any disclosed US Letybo sell-through	Q2 operating profit grew 1.1% on 25.1% revenue purely because of the US direct-sales build. Evidence that the cost base has annualised while US volume scales is the entire re-rating case.
iFamilySC (114840)	approx. mid-Nov 2026 (Q3), est.	approx. 95	Quarterly net income against the KRW 2.84bn most recently reported	Net income fell from KRW 4.81bn to KRW 2.84bn sequentially. On that run rate the stock is nearer 12x than the 7.0x trailing optic. A third consecutive decline confirms the multiple is an artefact of a decaying numerator.

Prioritisation. Read Cosmax first, on 11 or 12 August, even though we hold no position in it. It is the largest and broadest ODM in the complex and its consolidated operating margin is the cleanest available test of the central question this screen turns on: whether the indie-brand order boom converts into ODM margin expansion or merely into revenue. Cosmecca has already answered yes for one small, well-positioned manufacturer; Cosmax answers whether that is a company-specific advantage or an industry-wide operating-leverage event. If Cosmax prints margin expansion, both ODM longs are validated but our relative-value case for the smaller names weakens and Cosmax itself demands reconsideration as a long. If Cosmax repeats the Q1 pattern of 3% operating profit growth on double-digit revenue, then Cosmecca's execution is genuinely differentiated, the case for paying up for the specific manufacturer rather than the sector strengthens materially, and our exclusion of Cosmax is vindicated. Read Kolmar Korea and VT Co second, both on 12 August, since they are the two highest-conviction positions with imminent catalysts on opposite sides of the book.

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VERIFICATION LOG

Twelve companies checked. Ten verified clean on ticker, exchange and business description. Two flagged for identifier or structural ambiguity. All quote-derived valuation figures carry a vintage flag because English-language aggregator caching in this environment is inconsistent by name.

Item	Status	Note
Cosmax 192820, KRX	CLEAN	Confirmed active. Quote 7 Aug 2026 at KRW 205,500; market cap KRW 2.33tn.
Kolmar Korea 161890, KRX	FLAGGED	Ticker and exchange clean. PRICE CONFLICT: aggregator page cached 22 Jun at KRW 85,800; Korean press reports an intraday 52-week high of KRW 123,000 and a close of KRW 115,800 during July. Market cap presented as a KRW 2.0-2.9tn range. Re-strike before execution.
Cosmecca Korea 241710, KOSDAQ	FLAGGED	Ticker and exchange clean; Q2 2026 results confirmed from three independent Korean outlets on 10 Aug. PRICE STALE: base page cached 24 Jun at KRW 66,700; the stock rose 20.8% in the first week of August. Stated market cap of KRW 712bn is understated.
APR 278470, KRX	CLEAN	Quote 7 Aug 2026 at KRW 384,500; market cap KRW 14.39tn. Q2 figures confirmed from earnings call coverage. NOTE: one Korean broker summary cited FY2026 revenue of KRW 1.27tn, irreconcilable with H1 actuals of approximately KRW 1.36tn; that figure was discarded in favour of company guidance.
Silicon2 257720, KOSDAQ	CLEAN	Market cap KRW 2.26-2.37tn across sources; range presented. FY25 revenue KRW 1.12tn and net income KRW 168.6bn cross-checked. Q2 2026 result not located; treated as unavailable.
VT Co 018290, KOSDAQ	CLEAN	Quote 1 Jul 2026 at KRW 12,280; market cap KRW 425bn. One aggregator listing showed KRW 19,250 at an undated crawl; disregarded as inconsistent with the 52-week range. Margin-compression data sourced to KB Securities, March 2026.
Dongkook Pharmaceutical 086450, KOSDAQ	CLEAN	Live quote 10 Aug 2026 at KRW 20,100; market cap KRW 906.7bn. Classified under Healthcare, not Consumer Staples.
Kolmar Holdings 024720, KRX	FLAGGED	Live quote 10 Aug 2026 at KRW 9,850; market cap KRW 344.3bn -- CLEAN. STAKE UNVERIFIED: the precise percentage holding in Kolmar Korea was not confirmed within budget and no NAV calculation in this report should be relied upon without it. Ownership register also shows two separate 5.69% blocks (Dalton Investments and Europlan Industries) which may be the same beneficial position.
Able C&C 078520, KRX	CLEAN	Quote 10 Jul 2026 at KRW 10,200; market cap KRW 243.4bn.
YesAsia Holdings 2209, HKEX	CLEAN	Quote 4 Aug 2026 at HKD 3.60. Market cap dispersion HKD 1.11-1.65bn across sources; range presented. Semi-annual reporter; last full disclosure H2 2025 published 27 Mar 2026.
Hugel 145020, KOSDAQ	CLEAN	Market cap KRW 2.5-3.0tn across sources; range presented. Q2 2026 revenue KRW 137.9bn and operating profit KRW 56.0bn sourced to Korean financial press citing industry sources on 7 Aug.
iFamilySC 114840, KOSDAQ	CLEAN	Quote 23 Jun 2026 at KRW 7,600, at the 52-week low; market cap KRW 129.4bn. A later listing showed KRW 8,580. No analyst coverage or forward estimates published.
Korea export data	CLEAN	H1 2026 USD 7.0bn and +27.3% confirmed from Ministry of Food and Drug Safety via two outlets; a third cited USD 6.979bn and +26.9% from the Korea International Trade Association. Both ranges shown.
15% US tariff on Korean goods	CLEAN	Confirmed from multiple 2026 sources. Incidence analysis (importer of record bears first-order cost) is our own reasoning, not a sourced claim.
Bemotrizinol US OTC monograph admission	EST.	Referenced in Korean broker commentary as a driver for Kolmar Korea. Regulatory specifics not independently confirmed against an FDA primary source.
Cosmecca utilisation below 50% vs peers above 80%	FLAGGED - DATED	Sourced to a Mirae Asset note referencing 2024 capex figures. Almost certainly overstated as an advantage today given subsequent volume growth. Directional only.
Upstream supplier concentration (BASF, DSM-Firmenich, Dow, Shin-Etsu)	EST.	Industry-structure reasoning based on the speciality chemicals supply base, not confirmed against company disclosure of named suppliers. Treat as directional, not as a verified supplier register.
Kolmar Holdings NAV of KRW 475bn / KRW 13,836 per share	FLAGGED - THIRD PARTY, DATED	Attributed to Douglas Research Insights, March 2025. Over a year old and predates a substantial re-rating in the underlying. Presented as a labelled third-party estimate, not as our own valuation.
Earnings dates	FLAGGED	Sources conflict. Aggregators variously gave Cosmax 11 Aug and 18 Aug, Kolmar Korea 7 Aug, and Cosmecca 7 Aug; Korean industry press dated 8 Aug gives Cosmecca 10 Aug (since confirmed by the actual result), Kolmar Korea 12 Aug and Cosmax within the 5-13 Aug window. Korean press preferred throughout.

Item	Status	Note
Q3 2026 earnings dates in Section 9	EST.	Estimated from prior-quarter cadence except APR (5 Nov confirmed). Labelled est. in the table.
Market share percentages	EST.	No name in this basket discloses audited market share. All share and ranking statements are directional and sourced to broker or press characterisation.

Corrections applied: none required to the ranking. The Kolmar Korea and Cosmecca market capitalisations originally derived from cached pages were converted to ranges after Korean press confirmed materially higher July and August trading levels. The APR FY2026 revenue figure from one broker summary was discarded as irreconcilable with reported half-year actuals. Coverage limitation. This screen covers twelve companies and was executed in-chat within a targeted research budget rather than as an exhaustive investigation. Silicon2's Q2 2026 result and YesAsia's H1 2026 result were not available or not located; supplier registers were reasoned from industry structure rather than confirmed from filings; and the Kolmar Holdings stake percentage remains unverified. A full-depth version of this work would warrant the Research feature.

B**ACRONYM GLOSSARY**

Acronym	Full name
ASP	Average selling price
B2B	Business to business
EBITDA	Earnings before interest, taxes, depreciation and amortisation
EV	Enterprise value
FCF	Free cash flow
FDA	Food and Drug Administration (United States)
HA	Hyaluronic acid
ITC	International Trade Commission (United States)
KOSDAQ	Korea Securities Dealers Automated Quotations (Korean growth-company exchange)
KOSPI	Korea Composite Stock Price Index (Korean main board)
KRX	Korea Exchange
MFDS	Ministry of Food and Drug Safety (Korea)
NAV	Net asset value
ODM	Original design manufacturer -- owns the formulation and sells a finished concept
OEM	Original equipment manufacturer -- builds to the customer's own specification
OGM	Original global standard manufacturing (Cosmecca Korea's own term)
OPM	Operating profit margin
OTC	Over the counter -- in the US, a drug category governed by monograph rather than by prescription
PEG	Price-earnings-to-growth ratio
P/E	Price-to-earnings ratio
R&D	Research and development
ROE	Return on equity
ROIC	Return on invested capital
RTG OTC	Ready To Go OTC -- Cosmecca Korea's turnkey US sun-care solution
SG&A	Selling, general and administrative expenses
SKU	Stock-keeping unit -- one distinct sellable product variant
SPF	Sun protection factor
TTM	Trailing twelve months

Acronym	Full name
UV	Ultraviolet
YoY	Year on year

C DISCLAIMER

This document is for internal research purposes only and does not constitute investment advice, an offer, or a solicitation to buy or sell any security. Long and short designations are provided at the explicit request of the recipient and depart from the standard house convention of publishing no directional calls; no price targets are provided. All data should be independently verified before any position is taken, and quoted price and market capitalisation data in this report carries the vintage flags set out in the Verification Log. Several of the companies discussed report results within days of this screen date, which may render specific figures obsolete immediately.